



NOT ENOUGH In Kanpur, there is only one training institute to upskill leather industry workers



R.K. JALAN
VICE CHAIRMAN,
COUNCIL FOR
LEATHER EXPORTS

“Post Covid-19 there is an uptick in opportunities... The order book is good because the western countries are drifting away from China and giving many opportunities to Indian businesses”



MUKHTARUL AMIN,
CHAIRMAN & MD,
SUPERHOUSE
GROUP

“Currently, we import a lot of things from China, which takes a lot of time to reach India. Since China has a well established component industry, the turnaround time is very less in comparison to India”

Now that the Chinese city of Shanghai is under stringent lockdown due to rising Covid-19 cases, component supplies have been hit badly. “Our clients abroad are very specific about turnaround times (TATs). Brands like Zara have a TAT of eight weeks and if you fail to send the order within that time, they will ask you to send by flight,” says Jalan.

Mukhtarul Amin, Chairman and MD of Superhouse Group in Kanpur, also believes that India needs to invest in the component industry. He says, “Since China has a well-established component industry, their TAT is very low in comparison to India.” Adds Jalan: “The government should invite international players and sign joint ventures to consolidate the component industry, and in addition give soft loans.”

Policy stability is another big challenge for the industry. Tan-

neries on the bank of the Ganga, which discharge effluents into the river, are at the receiving end of anti-pollution drives, and many of them have shut down because of the norms. Amin believes that because of the constantly changing norms, tanneries find it difficult to function, which has a ripple effect across the industry as tanneries provide raw leather from hides.

Suri of Lex International says uncertainty over tanneries is a big challenge. But the industry is hopeful that this uncertainty will ease after the launch of a mega leather textile cluster park in Ramaipur area. “Work is going on in full force at the 300-acre park. Land acquisition has also taken place, and not even an inch of space is left in the park,” says an industry source on condition of anonymity. All tanneries will be shifted from Jajmau to Ramaipur, which is expected to put an end to the problem of effluents

being discharged into the Ganga.

High power prices are also a big pain point for the industry. “The government should subsidise electricity for us. Currently, we are paying around ₹10.5 per unit, which is not the case in any other country. I know Ethiopia or Uzbekistan charge ₹1.5-2 per unit, but the power cost in India is too much,” says Tarique Rizwan of Homera Tanneries. Iraqi of AKI says the ideal power rate for the industry should be around ₹5-9 per unit. He also believes that the government’s pollution policy should strike a balance between industry and environment.

Given the positive growth sentiment in the leather industry, it is time the government took cues from industry-friendly policies of other countries. Only then can India compete with giants such as China and Brazil. **BT**

@RajatMishra9518